

**FRMO Corp.**

A Delaware Corporation

1 North Lexington Avenue, Suite 12C  
White Plains, NY 10601

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914-632-6730

www.frmocorp.com

info@frmocorp.com

SIC Code: 6719 – Holding Company

**Quarterly Report**  
**For the Quarter Ended** November 30, 2019  
(the "Reporting Period")

As of November 30, 2019, the number of shares outstanding of our Common Stock was:

44,032,781

As of May 31, 2019, the number of shares outstanding of our Common Stock was:

43,976,781

Indicate by check mark whether the company is a shell company (as defined in Rule 405 of the Securities Act of 1933 and Rule 12b-2 of the Exchange Act of 1934):

Yes: ☐

No: ☒ (Double-click and select "Default Value" to check)

Indicate by check mark whether the company's shell status has changed since the previous reporting period:

Yes: ☐

No: ☒

Indicate by check mark whether a Change in Control of the company has occurred over this reporting period:

Yes: ☐

No: ☒

**1) Name of the issuer and any predecessors (if any) in the past five years:**

FRMO Corp.

FRMO Corp. is an active Corporation incorporated in the state of Delaware in November 1993. The name of the Corporation was changed from FRM Nexus to FRMO Corp. on November 29, 2000.

Has the issuer or any of its predecessors ever been in bankruptcy, receivership, or any similar proceeding in the past five years?

Yes: ☐

No: ☒

## 2) Security Information

|                                                  |              |                               |
|--------------------------------------------------|--------------|-------------------------------|
| Trading symbol:                                  | FRMO         |                               |
| Exact title and class of securities outstanding: | Common Stock |                               |
| CUSIP:                                           | 30262F205    |                               |
| Par or stated value:                             | \$0.001      |                               |
| Total shares authorized:                         | 90,000,000   | as of date: November 30, 2019 |
| Total shares outstanding:                        | 44,032,781   | as of date: November 30, 2019 |
| Number of shares in the Public Float             | 13,538,923   | as of date: November 30, 2019 |
| Total number of shareholders of record:          | 68           | as of date: November 30, 2019 |

*Additional class of securities (if any):*

|                                                  |                 |                               |
|--------------------------------------------------|-----------------|-------------------------------|
| Trading symbol:                                  | N/A             |                               |
| Exact title and class of securities outstanding: | Preferred Stock |                               |
| CUSIP:                                           | N/A             |                               |
| Par or stated value:                             | \$0.001         |                               |
| Total shares authorized:                         | 2,000,000       | as of date: November 30, 2019 |
| Total shares outstanding:                        | None            | as of date: November 30, 2019 |

### Transfer Agent

Name:  
Broadridge Corporate Issuer Solutions, Inc.  
1717 Arch Street, Suite 1300  
Philadelphia, PA 19103

Phone: 800-733-1121  
Email: Shareholder@Broadridge.com

Is the Transfer Agent registered under the Exchange Act?<sup>1</sup> Yes: ☒ No: ☐

Describe any trading suspension orders issued by the SEC concerning the issuer or its predecessors:

None

List any stock split, stock dividend, recapitalization, merger, acquisition, spin-off, or reorganization either currently anticipated or that occurred within the past 12 months:

None

### 3) Issuance History

#### A. Changes to the Number of Outstanding Shares

Check this box to indicate there were no changes to the number of outstanding shares within the past two completed fiscal years and any subsequent periods: ☐

| Number of Shares outstanding as of May 31, 2017 |                                                                                 | Opening Balance:<br>Common: 43,953,155<br>Preferred: None                                              |                     |                                                   |                                                                              |                                                                                                                      |                                                                                                             |                                                            |                                                                                                                                                           |
|-------------------------------------------------|---------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|---------------------|---------------------------------------------------|------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Date of Transaction                             | Transaction type (e.g. new issuance, cancellation, shares returned to treasury) | Number of Shares Issued (or cancelled)                                                                 | Class of Securities | Value of shares issued (\$/per share) at Issuance | Were the shares issued at a discount price at the time of issuance? (Yes/No) | Individual/ Entity Shares were issued to (entities must have individual with voting / investment control disclosed). | Reason for share issuance (e.g. for cash or debt conversion) OR Nature of Services Provided (if applicable) | Restricted or Unrestricted as of this filing?              | Exemption or Registration Type?                                                                                                                           |
| October 5, 2017                                 | Option grant                                                                    | Option grant to purchase 5,000 shares of common stock, exercise price of \$6.00 per share              | Common              | N/A                                               | N/A                                                                          | Option Granted to Allan Kornfeld                                                                                     | Director Compensation                                                                                       | Options are unexercised. Will be restricted upon exercise. | Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act. |
| October 5, 2017                                 | Option grant                                                                    | Option grant to purchase 3,000 shares of common stock, exercise price of \$6.00 per share              | Common              | N/A                                               | N/A                                                                          | Option Granted to Jay Hirschson                                                                                      | Director Compensation                                                                                       | Options are unexercised. Will be restricted upon exercise. | Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act. |
| October 5, 2017                                 | Option Exercise                                                                 | Option exercise of 3,000 shares of common stock at price of \$2.25 per share (Grant date: 10/14/10)    | Common              | Value of Shares at issuance \$6.00 per share      | Yes                                                                          | Option Exercised by Allan Kornfeld                                                                                   | Option Exercise                                                                                             | Shares are restricted for at least 1 year from issue date. | Shares carry the customary Securities Act of 1933 legend.                                                                                                 |
| February 28, 2018                               | Option Exercise                                                                 | Option exercise of 17,626 shares of common stock at price of \$1.99 per share (Grant date: 12/16/2009) | Common              | Value of Shares at issuance \$8.01                | Yes                                                                          | Options Exercised by Hugh Ross                                                                                       | Option Exercise                                                                                             | Shares are restricted for at least 1 year from issue date. | Shares carry the customary Securities Act of 1933 legend.                                                                                                 |
| October 4, 2018                                 | Option grant                                                                    | Option grant to purchase 5,000 shares of common stock, exercise price of \$7.90 per share              | Common              | N/A                                               | N/A                                                                          | Option Granted to Allan Kornfeld                                                                                     | Director Compensation                                                                                       | Options are unexercised. Will be restricted upon exercise. | Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act. |

|                                          |                                                                        |                                                                                                        |        |                                              |     |                                    |                       |                                                            |                                                                                                                                                           |
|------------------------------------------|------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|--------|----------------------------------------------|-----|------------------------------------|-----------------------|------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| October 4, 2018                          | Option grant                                                           | Option grant to purchase 3,000 shares of common stock, exercise price of \$7.90 per share              | Common | N/A                                          | N/A | Option Granted to Jay Hirschson    | Director Compensation | Options are unexercised. Will be restricted upon exercise. | Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act. |
| January 10, 2019                         | Option Exercise                                                        | Option exercise of 3,000 shares of common stock at price of \$2.75 per share (Grant date: 1/17/2012)   | Common | Value of Shares at issuance \$5.60 per share | Yes | Option Exercised by Allan Kornfeld | Option Exercise       | Shares are restricted for at least 1 year from issue date. | Shares carry the customary Securities Act of 1933 legend.                                                                                                 |
| August 19, 2019                          | Option Exercise                                                        | Option exercise of 50,000 shares of common stock at price of \$1.99 per share (Grant date: 12/16/2009) | Common | Value of Shares at issuance \$7.23 per share | Yes | Option Exercised by Hugh Ross      | Option Exercise       | Shares are restricted for at least 1 year from issue date. | Shares carry the customary Securities Act of 1933 legend.                                                                                                 |
| August 30, 2019                          | Option Exercise                                                        | Option exercise of 3,000 shares of common stock at price of \$1.95 per share (Grant date: 10/11/2012)  | Common | Value of Shares at issuance \$7.20 per share | Yes | Option Exercised by Jay Hirschson  | Option Exercise       | Shares are restricted for at least 1 year from issue date. | Shares carry the customary Securities Act of 1933 legend.                                                                                                 |
| October 10, 2019                         | Option Exercise                                                        | Option exercise of 3,000 shares of common stock at price of \$1.95 per share (Grant date: 10/11/2012)  | Common | Value of Shares at issuance \$6.10 per share | Yes | Option Exercised by Allan Kornfeld | Option Exercise       | Shares are restricted for at least 1 year from issue date. | Shares carry the customary Securities Act of 1933 legend.                                                                                                 |
| October 10, 2019                         | Option grant                                                           | Option grant to purchase 5,000 shares of common stock, exercise price of \$6.10 per share              | Common | N/A                                          | N/A | Option Granted to Allan Kornfeld   | Director Compensation | Options are unexercised. Will be restricted upon exercise. | Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act. |
| October 10, 2019                         | Option grant                                                           | Option grant to purchase 3,000 shares of common stock, exercise price of \$6.10 per share              | Common | N/A                                          | N/A | Option Granted to Jay Hirschson    | Director Compensation | Options are unexercised. Will be restricted upon exercise. | Registration of these Shares under the Securities Act of 1933, as amended, is not required pursuant to the exemption provided by Section 4(2) of the Act. |
| Shares Outstanding on: November 30, 2019 | Ending Balance:<br>Common: <u>44,032,781</u><br>Preferred: <u>None</u> |                                                                                                        |        |                                              |     |                                    |                       |                                                            |                                                                                                                                                           |

## B. Debt Securities, Including Promissory and Convertible Notes

Check this box if there are no outstanding promissory, convertible notes or debt arrangements: ☒

### 4) Financial Statements

A. The financial statements listed in items 4C – 4H are appended to this Disclosure Statement and were prepared in accordance with:

- ☒ U.S. GAAP  
☐ IFRS

B. The financial statements for this reporting period were prepared by:

Name: **Victor Brodsky**  
Title: **Consultant**  
Relationship to Issuer: **Consultant**

- C. Review Report of Independent Registered Public Accounting Firm
- D. Condensed Consolidated Balance Sheets
- E. Condensed Consolidated Statements of Income (Loss) and Comprehensive Income (Loss)
- F. Condensed Consolidated Statement of Stockholders' Equity
- G. Condensed Consolidated Statements of Cash Flows
- H. Notes to Condensed Consolidated Financial Statements

### 5) Issuer's Business, Products and Services

A. Summarize the issuer's business operations (If the issuer does not have current operations, state "no operations").

The corporation is an intellectual capital firm identifying and managing investment strategies and business opportunities.

B. Describe any subsidiaries, parents, or affiliated companies, if applicable, and a description of their business contact information for the business, officers, directors, managers or control persons. Subsidiary information may be included by reference.

Fromex Equity Corp., a Delaware corporation, is a wholly owned subsidiary of FRMO Corp.

As of November 30, 2019 and May 31, 2019, the Company held a 18.64% and 15.49% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon Kinetics LLC and certain officers, principal stockholders and directors of FRMO Corp. ("the Company"). Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 81.36% and 84.51% in HKHA has been eliminated from results of operations for the periods ended November 30, 2019 and May 31, 2019.

C. Describe the issuers' principal products or services, and their markets: Holding Company.

### 6) Issuer's Facilities

Company leases fully furnished office space from Horizon Kinetics LLC at 1 North Lexington Avenue, Suite 12C, White Plains, New York 10601. The lease term is one year renewable for consecutive one year periods until terminated.

Company owns two (2) warehouses, approximately 30,000 square feet each, situated on 3.56 acres of land located in North Carolina. The buildings are utilized in the Company's cryptocurrency mining operations and are subject to an \$800,000 first mortgage.

## 7) Officers, Directors, and Control Persons

| Name of Officer/Director and Control Person | Affiliation with Company (e.g. Officer/Director/Owner of more than 5%)        | Residential Address (City / State Only) | Number of shares owned | Share type/class | Ownership Percentage of Class Outstanding | Note |
|---------------------------------------------|-------------------------------------------------------------------------------|-----------------------------------------|------------------------|------------------|-------------------------------------------|------|
| Murray Stahl                                | Chairman, CEO,                                                                | Chappaqua, NY                           | 7,164,912              | Common           | 16.3%                                     | None |
| Steven Bregman                              | President, CFO, Director                                                      | Dobbs Ferry, NY                         | 6,912,970              | Common           | 15.7%                                     | None |
| John C. Meditz                              | Owner of more than 5%                                                         | Weehawken, NJ                           | 7,139,851              | Common           | 16.2%                                     | None |
| Thomas C. Ewing                             | Owner of more than 5%                                                         | Charlotte, NC                           | 4,608,558              | Common           | 10.5%                                     | None |
| Peter Doyle                                 | Vice President, Director                                                      | Scarsdale, NY                           | 4,226,140              | Common           | 9.6%                                      | None |
| Lawrence J. Goldstein                       | Director, Controls more than 5% (incl. Santa Monica Partners, L.P. ownership) | Purchase, NY                            | 1,838,980              | Common           | 4.2%                                      | None |
| Santa Monica Partners, L.P.                 | Controlled by Mr. Goldstein                                                   | Larchmont, NY                           | 1,008,897              | Common           | 2.3%                                      | None |

## 8) Legal/Disciplinary History

A. Please identify whether any of the persons listed above have, in the past 10 years, been the subject of:

1. A conviction in a criminal proceeding or named as a defendant in a pending criminal proceeding (excluding traffic violations and other minor offenses);

None

2. The entry of an order, judgment, or decree, not subsequently reversed, suspended or vacated, by a court of competent jurisdiction that permanently or temporarily enjoined, barred, suspended or otherwise limited such person's involvement in any type of business, securities, commodities, or banking activities;

None

3. A finding or judgment by a court of competent jurisdiction (in a civil action), the Securities and Exchange Commission, the Commodity Futures Trading Commission, or a state securities regulator of a violation of federal or state securities or commodities law, which finding or judgment has not been reversed, suspended, or vacated; or

None

4. The entry of an order by a self-regulatory organization that permanently or temporarily barred, suspended, or otherwise limited such person's involvement in any type of business or securities activities.

None

- B. Describe briefly any material pending legal proceedings, other than ordinary routine litigation incidental to the business, to which the issuer or any of its subsidiaries is a party or of which any of their property is the subject. Include the name of the court or agency in which the proceedings are pending, the date instituted, the principal parties thereto, a description of the factual basis alleged to underlie the proceeding and the relief sought. Include similar information as to any such proceedings known to be contemplated by governmental authorities.

None

**9) Third Party Providers**

Securities Counsel

Name: Morris Simkin  
Firm: Law Office of Morris Simkin  
Address 1: 60 East 42nd Street, Suite 1101  
Address 2: New York, NY 10017  
Phone: (212) 455-0476  
Email: msimkin@securitiesregslawyer.com

Accountant or Auditor

Name: John Basile, Engagement Partner  
Firm: Baker Tilly Virchow Krause, LLP  
Address 1: One Penn Plaza, Suite 3000  
Address 2: New York, NY 10119  
Phone: (212) 697-6900  
Email: John.Basile@bakertilly.com

Investor Relations Consultant

None

Other Service Providers

None

**10) Issuer Certification**

*Principal Executive Officer:*

I, Murray Stahl certify that:

1. I have reviewed this Quarterly Report of FRMO Corp.;
2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and
3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations, and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

January 14, 2020

/s/ Murray Stahl

*Principal Financial Officer:*

I, Steven Bregman certify that:

1. I have reviewed this Quarterly Report of FRMO Corp.;

2. Based on my knowledge, this disclosure statement does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this disclosure statement; and

3. Based on my knowledge, the financial statements, and other financial information included or incorporated by reference in this disclosure statement, fairly present in all material respects the financial condition, results of operations, and cash flows of the issuer as of, and for, the periods presented in this disclosure statement.

January 14, 2020

/s/ Steven Bregman



**FRMO CORPORATION  
AND SUBSIDIARIES**

White Plains, New York

**INTERIM CONDENSED CONSOLIDATED FINANCIAL  
STATEMENTS**

Including Report of Independent  
Registered Public Accounting Firm

As of November 30, 2019 (Unaudited) and  
May 31, 2019 and for the Three Months and Six Months  
Ended November 30, 2019 and 2018 (Unaudited)

# **FRMO CORPORATION AND SUBSIDIARIES**

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Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

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## **Review Report of Independent Registered Public Accounting Firm**

To the Board of Directors and Stockholders of  
FRMO Corporation and Subsidiaries

We have reviewed the accompanying condensed consolidated balance sheet of FRMO Corporation and Subsidiaries (the "Company") as of November 30, 2019, the related condensed consolidated statements of income (loss) and comprehensive income (loss) for the three and six months ended November 30, 2019 and 2018, the condensed consolidated statement of stockholders' equity for the six months ended November 30, 2019, and the condensed consolidated statements of cash flows for the six months ended November 30, 2019 and 2018. These interim condensed consolidated financial statements are the responsibility of the Company's management.

We conducted our reviews in accordance with the standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America. A review of interim financial information consists principally of applying analytical procedures and making inquiries of persons responsible for financial and accounting matters. It is substantially less in scope than an audit conducted in accordance with standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the objective of which is the expression of an opinion regarding the interim condensed consolidated financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying interim condensed consolidated financial statements as of November 30, 2019 and for the three and six months ended November 30, 2019 and 2018 referred to above for them to be in conformity with accounting principles generally accepted in the United States of America.

We have previously audited, in accordance with auditing standards of the Public Company Accounting Oversight Board (United States) and in accordance with auditing standards generally accepted in the United States of America, the consolidated balance sheet of FRMO Corporation and Subsidiaries as of May 31, 2019 (not presented herein) and, in our report dated August 13, 2019, we expressed an unqualified opinion on those consolidated financial statements. In our opinion, the information set forth in the accompanying condensed consolidated balance sheet as of May 31, 2019 is fairly stated, in all material respects, in relation to the consolidated financial statements from which it has been derived.

*Baker Tilly Virchow Krause, LLP*

New York, New York  
January 14, 2020

**INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS**

**FRMO CORPORATION  
AND SUBSIDIARIES**  
CONDENSED CONSOLIDATED BALANCE SHEETS  
As of November 30, 2019 and May 31, 2019

| <b>ASSETS</b>                                                                                                                                                             |                                     |                       |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|-----------------------|
|                                                                                                                                                                           | November 30,<br>2019<br>(Unaudited) | May 31,<br>2019       |
| <b>Current Assets</b>                                                                                                                                                     |                                     |                       |
| Cash and cash equivalents                                                                                                                                                 | \$ 53,573,387                       | \$ 53,080,680         |
| Accounts receivable (due from related parties)                                                                                                                            | 754,012                             | 760,619               |
| Prepaid income taxes                                                                                                                                                      | 631,260                             | 736,436               |
| Equity securities, at fair value (cost of \$51,163,955 and \$43,731,538 at November 30, 2019 and May 31, 2019, respectively)                                              | 63,833,979                          | 63,564,512            |
| Other assets                                                                                                                                                              | 142,357                             | 142,357               |
| <b>Total Current Assets</b>                                                                                                                                               | <b>118,934,995</b>                  | <b>118,284,604</b>    |
| Cryptocurrency mining assets, net of accumulated depreciation of \$97,409 and \$62,335 at November 30, 2019 and May 31, 2019, respectively                                | 1,281,871                           | 94,998                |
| Investment in limited partnerships and other equity investments at fair value (cost of \$27,026,047 and \$26,208,639 at November 30, 2019 and May 31, 2019, respectively) | 45,947,760                          | 47,513,033            |
| Investments in Securities Exchanges                                                                                                                                       | 5,061,025                           | 3,641,522             |
| Other investments                                                                                                                                                         | 448,120                             | 452,458               |
| Investment in Horizon Kinetics LLC                                                                                                                                        | 11,838,890                          | 11,487,950            |
| Participation in Horizon Kinetics LLC Revenue Stream                                                                                                                      | 10,200,000                          | 10,200,000            |
| <b>Total Assets</b>                                                                                                                                                       | <b>\$ 193,712,661</b>               | <b>\$ 191,674,565</b> |
| <b>LIABILITIES AND STOCKHOLDERS' EQUITY</b>                                                                                                                               |                                     |                       |
| <b>Current Liabilities</b>                                                                                                                                                |                                     |                       |
| Accounts payable and accrued expenses                                                                                                                                     | \$ 285,722                          | \$ 161,157            |
| Current portion of mortgage payable                                                                                                                                       | 27,238                              | -                     |
| Securities sold, not yet purchased (proceeds of \$14,942,185 and \$11,581,064 at November 30, 2019 and May 31, 2019, respectively)                                        | 7,773,151                           | 8,133,244             |
| <b>Total Current Liabilities</b>                                                                                                                                          | <b>8,086,111</b>                    | <b>8,294,401</b>      |
| Deferred tax liability                                                                                                                                                    | 9,005,911                           | 8,383,113             |
| Mortgage payable, net of current portion                                                                                                                                  | 772,762                             | -                     |
| <b>Total Liabilities</b>                                                                                                                                                  | <b>17,864,784</b>                   | <b>16,677,514</b>     |
| <b>Stockholders' Equity</b>                                                                                                                                               |                                     |                       |
| Stockholders' Equity Attributable to the Company                                                                                                                          | 127,689,662                         | 126,384,257           |
| Noncontrolling interests                                                                                                                                                  | 48,158,215                          | 48,612,794            |
| <b>Total Stockholders' Equity</b>                                                                                                                                         | <b>175,847,877</b>                  | <b>174,997,051</b>    |
| <b>Total Liabilities and Stockholders' Equity</b>                                                                                                                         | <b>\$ 193,712,661</b>               | <b>\$ 191,674,565</b> |

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.

# FRMO CORPORATION AND SUBSIDIARIES

## CONDENSED CONSOLIDATED STATEMENTS OF INCOME (LOSS) AND COMPREHENSIVE INCOME (LOSS)

|                                                                            | Three Months Ended  |                   | Six Months Ended    |                     |
|----------------------------------------------------------------------------|---------------------|-------------------|---------------------|---------------------|
|                                                                            | November 30,        |                   | November 30,        |                     |
|                                                                            | 2019                | 2018              | 2019                | 2018                |
|                                                                            | (Unaudited)         |                   | (Unaudited)         |                     |
| <b>REVENUE</b>                                                             |                     |                   |                     |                     |
| Fees                                                                       | \$ 515,305          | \$ 500,034        | \$ 1,047,125        | \$ 1,042,216        |
| Dividends and interest income, net                                         | 269,331             | 298,587           | 598,054             | 584,628             |
| Net realized gains (losses) from investments                               | 1,041,809           | (372,966)         | 1,064,425           | (405,817)           |
| Equity (loss) earnings from partnerships and limited liability companies   | (223,425)           | 949,677           | 1,092,625           | 1,662,750           |
| Unrealized (losses) gains from investments subject to fair value valuation | (831,640)           | 1,696,656         | (2,212,460)         | 5,214,353           |
| Equity earnings from investment in The Bermuda Stock Exchange              | 71,117              | 54,322            | 111,408             | 117,113             |
| Total revenue before unrealized gains (losses) from equity securities      | 842,497             | 3,126,310         | 1,701,177           | 8,215,243           |
| Unrealized gains (losses) from equity securities                           | 1,404,983           | 7,545,953         | (3,441,735)         | 17,328,892          |
| Total Revenue                                                              | 2,247,480           | 10,672,263        | (1,740,558)         | 25,544,135          |
| <b>OPERATING EXPENSES</b>                                                  |                     |                   |                     |                     |
| General and administrative expenses                                        | 330,268             | 395,713           | 665,061             | 685,627             |
| Depreciation                                                               | 20,304              | 10,529            | 35,073              | 18,978              |
| Total Expenses                                                             | 350,572             | 406,242           | 700,134             | 704,605             |
| <b>Income (Loss) from Operations before Provision for Income Taxes</b>     | 1,896,908           | 10,266,021        | (2,440,692)         | 24,839,530          |
| Provision for Income Taxes                                                 | 830,486             | 330,107           | 2,063,495           | 1,619,476           |
| Net Income (Loss)                                                          | 1,066,422           | 9,935,914         | (4,504,187)         | 23,220,054          |
| Less net income (loss) attributable to noncontrolling interests            | 1,548,140           | 9,351,917         | (3,803,607)         | 19,424,934          |
| Net (Loss) Income Attributable to the Company                              | <u>\$ (481,718)</u> | <u>\$ 583,997</u> | <u>\$ (700,580)</u> | <u>\$ 3,795,120</u> |
| <b>OTHER COMPREHENSIVE (LOSS) INCOME, NET OF TAX</b>                       |                     |                   |                     |                     |
| Net Income (Loss)                                                          | \$ 1,066,422        | \$ 9,935,914      | \$ (4,504,187)      | \$ 23,220,054       |
| Change in other comprehensive income (loss)                                | -                   | -                 | -                   | -                   |
| Comprehensive Income (Loss)                                                | 1,066,422           | 9,935,914         | (4,504,187)         | 23,220,054          |
| Less comprehensive income (loss) attributable to noncontrolling interests  | 1,548,140           | 9,351,917         | (3,803,607)         | 19,424,934          |
| Comprehensive (loss) income attributable to the Company                    | <u>\$ (481,718)</u> | <u>\$ 583,997</u> | <u>\$ (700,580)</u> | <u>\$ 3,795,120</u> |
| <b>NET (LOSS) INCOME PER COMMON SHARE</b>                                  |                     |                   |                     |                     |
| Basic and diluted                                                          | <u>\$ (0.01)</u>    | <u>\$ 0.01</u>    | <u>\$ (0.02)</u>    | <u>\$ 0.09</u>      |
| <b>WEIGHTED AVERAGE COMMON SHARES OUTSTANDING</b>                          |                     |                   |                     |                     |
| Basic                                                                      | 44,031,462          | 43,973,781        | 44,007,267          | 43,973,781          |
| Diluted                                                                    | 44,031,462          | 44,021,101        | 44,007,267          | 44,022,432          |

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.

**FRMO CORPORATION  
AND SUBSIDIARIES**

**CONDENSED CONSOLIDATED STATEMENT OF STOCKHOLDERS' EQUITY**  
For the Six Months Ended November 30, 2019 (Unaudited)

|                                                            | Redeemable Preferred Stock |        | Common Stock |           | Additional Paid-In Capital | Accumulated Other Comprehensive Income | Retained Earnings | Stockholders' Equity Attributable to the Company | Non-Controlling Interests | Total Stockholders' Equity |
|------------------------------------------------------------|----------------------------|--------|--------------|-----------|----------------------------|----------------------------------------|-------------------|--------------------------------------------------|---------------------------|----------------------------|
|                                                            | Shares                     | Amount | Shares       | Amount    |                            |                                        |                   |                                                  |                           |                            |
| <b>BALANCE - June 1, 2019</b>                              | -                          | \$ -   | 43,976,781   | \$ 43,976 | \$ 34,792,027              | \$ -                                   | \$ 91,548,254     | \$ 126,384,257                                   | \$ 48,612,794             | \$ 174,997,051             |
| Equity Compensation                                        | -                          | -      | -            | -         | 23,040                     | -                                      | -                 | 23,040                                           | -                         | 23,040                     |
| Exercise of Stock Options                                  | -                          | -      | 56,000       | 56        | 111,144                    | -                                      | -                 | 111,200                                          | -                         | 111,200                    |
| Non-cash Compensation                                      | -                          | -      | -            | -         | 51,600                     | -                                      | -                 | 51,600                                           | -                         | 51,600                     |
| Capital Accounts of Consolidated Limited Liability Company | -                          | -      | -            | -         | 1,820,145                  | -                                      | -                 | 1,820,145                                        | -                         | 1,820,145                  |
| Net loss                                                   | -                          | -      | -            | -         | -                          | -                                      | (700,580)         | (700,580)                                        | (3,803,607)               | (4,504,187)                |
| Noncontrolling contributions                               | -                          | -      | -            | -         | -                          | -                                      | -                 | -                                                | 3,349,028                 | 3,349,028                  |
| <b>BALANCE - November 30, 2019</b>                         | -                          | \$ -   | 44,032,781   | \$ 44,032 | \$ 36,797,956              | \$ -                                   | \$ 90,847,674     | \$ 127,689,662                                   | \$ 48,158,215             | \$ 175,847,877             |

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.

**FRMO CORPORATION  
AND SUBSIDIARIES**

**CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS**  
For the Six Months Ended November 30, 2019 and 2018

|                                                                                        | November 30,         |                      |
|----------------------------------------------------------------------------------------|----------------------|----------------------|
|                                                                                        | 2019                 | 2018                 |
|                                                                                        | (Unaudited)          | (Unaudited)          |
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                                            |                      |                      |
| Net (loss) income                                                                      | \$ (4,504,187)       | \$ 23,220,054        |
| Adjustments to reconcile net (loss) income to net cash flows from operating activities |                      |                      |
| Non-cash compensation                                                                  | 51,600               | 51,600               |
| Equity compensation                                                                    | 23,040               | 31,120               |
| Net realized (gain) loss from investments                                              | (1,064,425)          | 405,817              |
| Equity earnings from partnerships and limited liability companies                      | (1,092,625)          | (1,662,750)          |
| Unrealized losses (gains) from investments subject to fair value valuation             | 2,212,460            | (5,214,353)          |
| Unrealized losses (gains) from equity securities                                       | 3,441,735            | (17,328,892)         |
| Equity earnings from investments in Securities Exchanges                               | (111,408)            | (117,113)            |
| Non-cash fee revenue                                                                   | (128,175)            | (25,712)             |
| Depreciation                                                                           | 35,073               | 18,978               |
| Deferred income tax expense                                                            | 622,798              | 856,325              |
| Changes in operating assets and liabilities:                                           |                      |                      |
| Accounts receivable                                                                    | 6,607                | (29,177)             |
| Prepaid income taxes                                                                   | 105,176              | 168,493              |
| Other current assets                                                                   | -                    | 51,001               |
| Accounts payable and accrued expenses                                                  | 124,565              | (26,319)             |
| Income taxes payable                                                                   | -                    | 46,396               |
| Net Cash Flows (used in) provided by Operating Activities                              | (277,766)            | 445,468              |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                                            |                      |                      |
| Proceeds from sale of investments                                                      | 411,890              | 743,418              |
| Purchases of investments                                                               | (2,456,430)          | (4,184,169)          |
| Proceeds from securities sold, not yet purchased                                       | 3,842,785            | 5,415,146            |
| Purchases to cover securities previously sold                                          | (497,946)            | (4,638,014)          |
| Other investments                                                                      | (249,080)            | (125,000)            |
| Purchase of cryptocurrency mining assets                                               | (421,946)            | (45,107)             |
| Net Cash Flows provided by (used in) Investing Activities                              | 629,273              | (2,833,726)          |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES</b>                                            |                      |                      |
| Proceeds from issuance of other consolidated subsidiary equity                         | 30,000               | 155,000              |
| Proceeds from exercise of stock options                                                | 111,200              | -                    |
| Net Cash Flows from Financing Activities                                               | 141,200              | 155,000              |
| <b>Net Change in Cash and Cash Equivalents</b>                                         | 492,707              | (2,233,258)          |
| CASH AND CASH EQUIVALENTS, Beginning of Period                                         | 53,080,680           | 53,617,453           |
| <b>CASH AND CASH EQUIVALENTS, END OF PERIOD</b>                                        | <u>\$ 53,573,387</u> | <u>\$ 51,384,195</u> |
| <b>SUPPLEMENTAL DISCLOSURES OF CASH FLOW INFORMATION</b>                               |                      |                      |
| Cash paid during the period for                                                        |                      |                      |
| Income taxes                                                                           | \$ 1,306,000         | \$ 502,744           |
| Interest - margin                                                                      | \$ 192,736           | \$ 204,713           |
| <b>NONCASH INVESTING ACTIVITIES</b>                                                    |                      |                      |
| Cryptocurrency mining assets acquired through mortgage financing                       | \$ 800,000           | \$ -                 |
| Investment acquired through the contribution of other investments                      | \$ 5,139,170         | \$ 5,064,932         |

See report of independent registered public accounting firm and notes to condensed consolidated financial statements.



## **FRMO CORPORATION AND SUBSIDIARIES**

### **NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS**

As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

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#### **NOTE 1 - Nature of Business and Basis of Presentation**

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The condensed consolidated financial statements include the accounts of FRMO and its controlled subsidiaries (collectively referred to as the "Company"). The Company holds a 4.95% interest in Horizon Kinetic LLC ("Horizon") and earns substantially all of its advisory fees from Horizon. As of November 30, 2019 and May 31, 2019, the Company held a 18.64% and 15.49% equity interest in Horizon Kinetics Hard Assets LLC ("HKHA"), a company formed by Horizon and certain officers, principal stockholders and directors of the Company. Due to the common control and ownership between HKHA and the Company's principal stockholders and directors, HKHA has been consolidated within the Company's financial statements. The noncontrolling interest of 81.36% and 84.51% in HKHA has been eliminated from results of operations for the periods ended November 30, 2019 and May 31, 2019. Total stockholders' equity includes as a separate item the amount attributable to the noncontrolling interests. The Company maintains its corporate office in White Plains, New York.

The accompanying unaudited condensed consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States ("GAAP") for interim financial information. The principles for condensed interim financial information do not require the inclusion of all the information and footnotes required by generally accepted accounting principles for complete financial statements. Therefore, these condensed consolidated financial statements should be read in conjunction with the consolidated financial statements as of and for the year ended May 31, 2019 and notes thereto. The accompanying condensed consolidated financial statements have not been audited by an independent registered public accounting firm in accordance with standards of the Public Company Accounting Oversight Board (United States) but, in the opinion of management, such financial statements include all adjustments, consisting only of normal recurring adjustments, necessary for a fair statement of the Company's financial position and results of operations. The results of operations for the three months and six months ended November 30, 2019 may not be indicative of the results that may be expected for the year ending May 31, 2020.

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#### **NOTE 2 - Summary of Significant Accounting Policies**

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##### *Investment Valuation*

As of November 30, 2019 and May 31, 2019, investments in limited partnerships and limited liability companies are valued using data inputs from September 30, 2019 and March 31, 2019, respectively, the dates of the most current available information. Management reviews relevant market and related data to reconcile for the period from October 1 through November 30. Subsequent market volatility was not significant and has not been reflected in these condensed consolidated financial statements as of November 30, 2019.

##### *Cryptocurrency Mining Assets*

Cryptocurrency mining assets consists of building and computer equipment utilized in the Company's cryptocurrency mining operations and are reported at cost less accumulated depreciation. Depreciation is provided using the straight-line method over the estimated useful lives of the assets. The Company estimates the useful life for computer equipment is three years, and building is 39 years.

The Company reviews its real estate asset to evaluate the necessity of recording impairment losses for market changes due to declines in the estimated fair value of the property. In evaluating potential impairment, management considers the current estimated fair value compared to the carrying value of the asset. At November 30, 2019, due the recent acquisition, the fair value of the real estate asset is estimated to be equal to or in excess of the carrying value.

# FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS  
As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

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## NOTE 2 - Summary of Significant Accounting Policies (cont.)

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### *Subsequent Events*

The Company has evaluated all subsequent events from the date of the condensed consolidated balance sheets through January 14, 2020, which represents the date these condensed consolidated financial statements are available to be issued.

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## NOTE 3 - Adoption of New Accounting Pronouncements

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The Company has determined that no recently issued accounting pronouncements will have a material impact on its condensed consolidated financial position, results of operations and cash flows, or do not apply to its operations.

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## NOTE 4 - Investments

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### *Limited Partnerships and Limited Liability Companies and Equity Investments*

The Company's investments in limited partnerships and limited liability companies and equity investments consist of the following as of November 30, 2019 and May 31, 2019:

|                                                                       | As of November 30, 2019 (Unaudited) |                      |                       |
|-----------------------------------------------------------------------|-------------------------------------|----------------------|-----------------------|
|                                                                       | Cost or<br>(Proceeds)               | Unrealized<br>Gains  | Fair<br>Value         |
| Equity Securities                                                     | <u>\$ 51,163,955</u>                | <u>\$ 12,670,024</u> | <u>\$ 63,833,979</u>  |
| Investments in limited partnerships and other equity securities:      |                                     |                      |                       |
| Limited partnerships                                                  |                                     |                      |                       |
| Investment in South LaSalle Partners, LP                              | <u>\$ 5,746,875</u>                 | <u>\$ 1,334,929</u>  | <u>\$ 7,081,804</u>   |
| Investments in managed funds                                          |                                     |                      |                       |
| Horizon Multi-Strategy Fund, LP                                       | \$ 6,958,610                        | \$ 9,358,983         | \$ 16,317,593         |
| CDK Partners, LP                                                      | 1,426,165                           | 1,343,119            | 2,769,284             |
| Polestar Fund, LP                                                     | 11,811,874                          | 6,661,818            | 18,473,692            |
| Multi-Disciplinary Fund, LP                                           | 601,741                             | 15,069               | 616,810               |
| Kinetics Institutional Partners, LP                                   | 9,792                               | 5,749                | 15,541                |
| Shepherd I, LP                                                        | 10,555                              | 3,105                | 13,660                |
| Total Investments in Managed Funds                                    | <u>20,818,737</u>                   | <u>17,387,843</u>    | <u>38,206,580</u>     |
| Investment in Winland Holdings Corporation                            | <u>460,435</u>                      | <u>198,941</u>       | <u>659,376</u>        |
| Total investments in limited partnerships and other equity securities | <u>\$ 27,026,047</u>                | <u>\$ 18,921,713</u> | <u>\$ 45,947,760</u>  |
| Securities sold, not yet purchased (liability)                        | <u>\$(14,942,185)</u>               | <u>\$ 7,169,034</u>  | <u>\$ (7,773,151)</u> |

**FRMO CORPORATION  
AND SUBSIDIARIES**

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS  
As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

**NOTE 4 - Investments (cont.)**

|                                                                       | As of May 31, 2019    |                      |                       |
|-----------------------------------------------------------------------|-----------------------|----------------------|-----------------------|
|                                                                       | Cost or<br>(Proceeds) | Unrealized<br>Gains  | Fair<br>Value         |
| Equity Securities                                                     | <u>\$ 43,731,538</u>  | <u>\$ 19,832,974</u> | <u>\$ 63,564,512</u>  |
| Investments in limited partnerships and other equity securities:      |                       |                      |                       |
| Limited partnerships                                                  |                       |                      |                       |
| Investment in South LaSalle Partners, LP                              | <u>\$ 5,753,268</u>   | <u>\$ 1,673,937</u>  | <u>\$ 7,427,205</u>   |
| Investments in managed funds                                          |                       |                      |                       |
| Horizon Multi-Strategy Fund, LP                                       | \$ 6,464,011          | \$ 10,148,441        | \$ 16,612,452         |
| CDK Partners, LP                                                      | 1,435,786             | 1,446,042            | 2,881,828             |
| Polestar Fund, LP                                                     | 11,478,409            | 7,793,533            | 19,271,942            |
| Multi-Disciplinary Fund, LP                                           | 596,586               | 10,645               | 607,231               |
| Kinetics Institutional Partners, LP                                   | 9,879                 | 6,246                | 16,125                |
| Shepherd I, LP                                                        | <u>10,265</u>         | <u>3,871</u>         | <u>14,136</u>         |
| Total Investments in Managed Funds                                    | <u>19,994,936</u>     | <u>19,408,778</u>    | <u>39,403,714</u>     |
| Investment in Winland Holdings Corporation                            | <u>460,435</u>        | <u>221,679</u>       | <u>682,114</u>        |
| Total investments in limited partnerships and other equity securities | <u>\$ 26,208,639</u>  | <u>\$ 21,304,394</u> | <u>\$ 47,513,033</u>  |
| Securities sold, not yet purchased (liability)                        | <u>\$(11,581,064)</u> | <u>\$ 3,447,820</u>  | <u>\$ (8,133,244)</u> |

# FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS  
As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

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## **NOTE 4 - Investments (cont.)**

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### *Investments in Unconsolidated Entities*

#### Investment in Securities Exchanges

Investments in securities exchanges consist of the following as of November 30, 2019 and May 31, 2019:

|                                    | November 30,<br>2019<br>(Unaudited) | May 31,<br>2019     |
|------------------------------------|-------------------------------------|---------------------|
| Miami International Holdings, Inc. | \$ 4,322,905                        | \$ 250,000          |
| The Bermuda Stock Exchange         | -                                   | 2,902,482           |
| OneChicago, LLC                    | 246,000                             | 246,000             |
| CNSX Markets, Inc.                 | 243,040                             | 243,040             |
| American Financial Exchange, LLC   | 249,080                             | -                   |
| Total securities exchanges         | <u>\$ 5,061,025</u>                 | <u>\$ 3,641,522</u> |

On September 23, 2019, the Bermuda Monetary Authority authorized the transfer of the Company's shares in The Bermuda Stock Exchange to Miami International Holdings, Inc. ("MIH") in exchange for 603,393 shares of common stock of MIH. The transaction was completed on October 23, 2019, resulting in a realized gain of \$1,059,015. The Company's ownership interest in MIH is approximately 1.00%.

Though October 23, 2019, the Company held a 40.08% interest in the Bermuda Stock Exchange, and currently holds a 1.41% interest in CNSX Markets, Inc. and less than a 1.00% interest in other stock exchanges.

#### Other Investments

The following are the Company's other investments as of November 30, 2019 and May 31, 2019:

|                                      | November 30,<br>2019<br>(Unaudited) | May 31,<br>2019   |
|--------------------------------------|-------------------------------------|-------------------|
| Cryptocurrency Mining Entities       |                                     |                   |
| HK Cryptocurrency Mining, LLC        | \$ 49,849                           | \$ 56,467         |
| Horatio Mining, LLC                  | 54,732                              | 48,621            |
| HK Cryptocurrency Mining II, LLC     | 128,170                             | 126,109           |
| HM Tech, LLC                         | 139,108                             | 145,000           |
| Total cryptocurrency mining entities | 371,859                             | 376,197           |
| Digital Currency Group, Inc.         | 76,261                              | 76,261            |
| Total other investments              | <u>\$ 448,120</u>                   | <u>\$ 452,458</u> |

# FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS  
As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

## **NOTE 4 - Investments (cont.)**

### Investments under the Equity Method of Accounting

The Company's investment in Horizon is accounted for under the equity method of accounting. This investment has been reviewed for impairment with none being noted. The Company's prior investment in the Bermuda Stock Exchange was accounted for under the equity method of accounting.

### Investment Concentration

As of November 30, 2019 and May 31, 2019, the Company had one investment in an equity security held directly and indirectly, through its various investments in managed funds, amounting to approximately \$26,345,000 and \$26,562,000, respectively, which represents 20.6% and 21.0%, respectively, of stockholders' equity attributable to the Company ("Equity"). None of the Company's other direct or indirect investments were greater than 10% of Equity.

## **NOTE 5 - Fair Value Measurements**

The following tables present information about the Company's assets and liabilities that are measured at fair value on a recurring basis as of November 30, 2019 and May 31, 2019, and indicates the fair value hierarchy of the valuation techniques the Company utilized to determine such fair values.

|                                                                 | As of November 30, 2019 (Unaudited)             |                                                  |                                               |                                           |
|-----------------------------------------------------------------|-------------------------------------------------|--------------------------------------------------|-----------------------------------------------|-------------------------------------------|
|                                                                 | Fair Value Measurements at Reporting Date Using |                                                  |                                               |                                           |
|                                                                 | Quoted Prices                                   |                                                  |                                               |                                           |
|                                                                 | Investments Measured at Net Asset Value         | in Active Markets for Identical Assets (Level 1) | Significant Other Observable Inputs (Level 2) | Significant Unobservable Inputs (Level 3) |
|                                                                 | Total                                           | Value                                            | (Level 1)                                     | (Level 2)                                 |
| Assets (at fair value):                                         |                                                 |                                                  |                                               |                                           |
| Money Market Mutual Funds included in Cash and Cash Equivalents | \$ 50,179,702                                   | \$ -                                             | \$ 50,179,702                                 | \$ -                                      |
| Other Investments:                                              |                                                 |                                                  |                                               |                                           |
| Equity Securities                                               | \$ 63,833,979                                   | \$ -                                             | \$ 63,833,979                                 | \$ -                                      |
| Investment in Limited Partnerships and other Equity Investments | 45,947,760                                      | 45,288,384                                       | -                                             | 659,376                                   |
| Total Other Investments                                         | \$ 109,781,739                                  | \$ 45,288,384                                    | \$ 63,833,979                                 | \$ 659,376                                |
| Liabilities (at fair value):                                    |                                                 |                                                  |                                               |                                           |
| Common Stocks                                                   | \$ 7,773,151                                    | \$ -                                             | \$ 7,773,151                                  | \$ -                                      |

# FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS  
As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

## NOTE 5 - Fair Value Measurements (cont.)

|                                                                 | As of May 31, 2019                              |                                                  |                                               |                                           |      |  |
|-----------------------------------------------------------------|-------------------------------------------------|--------------------------------------------------|-----------------------------------------------|-------------------------------------------|------|--|
|                                                                 | Fair Value Measurements at Reporting Date Using |                                                  |                                               |                                           |      |  |
|                                                                 | Quoted Prices                                   |                                                  |                                               |                                           |      |  |
|                                                                 | Investments Measured at Net Asset Value         | in Active Markets for Identical Assets (Level 1) | Significant Other Observable Inputs (Level 2) | Significant Unobservable Inputs (Level 3) |      |  |
| Total                                                           | Value                                           | (Level 1)                                        | (Level 2)                                     | (Level 3)                                 |      |  |
| Assets (at fair value):                                         |                                                 |                                                  |                                               |                                           |      |  |
| Money Market Mutual Funds included in Cash and Cash Equivalents | \$ 48,481,777                                   | \$ -                                             | \$ 48,481,777                                 | \$ -                                      | \$ - |  |
| Other Investments:                                              |                                                 |                                                  |                                               |                                           |      |  |
| Equity Securities                                               | \$ 63,564,512                                   | \$ -                                             | \$ 63,564,512                                 | \$ -                                      | \$ - |  |
| Investment in Limited Partnerships and other Equity Investments | 47,513,033                                      | 46,830,919                                       | -                                             | 682,114                                   | -    |  |
| Total Other Investments                                         | \$ 111,077,545                                  | \$ 46,830,919                                    | \$ 63,564,512                                 | \$ 682,114                                | \$ - |  |
| Liabilities (at fair value):                                    |                                                 |                                                  |                                               |                                           |      |  |
| Common Stocks                                                   | \$ 8,133,244                                    | \$ -                                             | \$ 8,133,244                                  | \$ -                                      | \$ - |  |

## NOTE 6 - Income Taxes

The Company files a consolidated federal income tax return and a combined state/city tax return with its wholly-owned subsidiary, Fromex Equities Corp. HKHA, included in consolidated net income (loss) before taxes is a pass-through entity subject to K-1 reporting and is not included in the Company's consolidated income tax return. Pass-through income allocated to the Company is based on the Company's ownership percentage as of November 30, 2019 and 2018, which was 18.64% and 13.91% respectively. Income tax attributable to the remaining noncontrolling interest of 81.36% and 86.09% represents a permanent difference related to "consolidation of noncontrolling interests" in the reconciliation table below of federal statutory rate to effective tax rate.

The Company records adjustments related to prior years' taxes during the period when they are identified, generally when the tax returns are filed. The effect of these adjustments on the current and prior periods (during which the differences originated) is evaluated based upon quantitative and qualitative factors and are considered in relation to the condensed consolidated financial statements taken as a whole for the respective periods. These adjustments have not been significant to the Company's financial statements.

**FRMO CORPORATION  
AND SUBSIDIARIES**

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS  
As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

**NOTE 6 - Income Taxes (cont.)**

The provision for income taxes is comprised of the following for the three months and six months ended November 30:

|                                  | Three Months Ended<br>November 30, |                   | Six Months Ended<br>November 30, |                     |
|----------------------------------|------------------------------------|-------------------|----------------------------------|---------------------|
|                                  | 2019                               | 2018              | 2019                             | 2018                |
|                                  | (Unaudited)                        |                   | (Unaudited)                      |                     |
| Current                          |                                    |                   |                                  |                     |
| Federal                          | \$ (599,515)                       | \$ 140,688        | \$ 746,139                       | \$ 539,838          |
| State and City                   | 240,316                            | 56,649            | 694,558                          | 223,313             |
| Total Current                    | <u>(359,199)</u>                   | <u>197,337</u>    | <u>1,440,697</u>                 | <u>763,151</u>      |
| Deferred                         |                                    |                   |                                  |                     |
| Federal                          | 582,217                            | 127,642           | (3,681)                          | 889,078             |
| State and City                   | 607,468                            | 5,128             | 626,479                          | (32,753)            |
| Total Deferred                   | <u>1,189,685</u>                   | <u>132,770</u>    | <u>622,798</u>                   | <u>856,325</u>      |
| Total Provision for Income Taxes | <u>\$ 830,486</u>                  | <u>\$ 330,107</u> | <u>\$ 2,063,495</u>              | <u>\$ 1,619,476</u> |

Deferred tax assets and liabilities are determined using the enacted tax rates applicable to the period the temporary differences are expected to be recovered. Accordingly, the current period income tax provision is affected by the enactment of new tax rates. The net deferred income taxes on the balance sheets reflect temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and income tax purposes, tax effected at a various rates depending on whether the temporary differences are subject to federal taxes, state and city taxes, or both.

The tax effects of temporary differences which give rise to the deferred tax liability consist of the following as of November 30, 2019 and May 31, 2019:

|                                                          | November 30,<br>2019<br>(Unaudited) | May 31,<br>2019     |
|----------------------------------------------------------|-------------------------------------|---------------------|
| Deferred Tax Liability                                   |                                     |                     |
| Investments in limited partnerships                      | \$ -                                | \$ 622,616          |
| Investment in unconsolidated limited liability companies | 132,660                             | 230,672             |
| Deferral of gain from like-kind exchange                 | 3,419,460                           | 2,779,555           |
| Unrealized gain from investments                         | <u>5,453,791</u>                    | <u>4,750,270</u>    |
| Total Deferred Tax Liability                             | <u>\$ 9,005,911</u>                 | <u>\$ 8,383,113</u> |

# FRMO CORPORATION AND SUBSIDIARIES

## NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS As of November 30, 2019 (Unaudited) and May 31, 2019 and for the Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

### **NOTE 6 - Income Taxes (cont.)**

A reconciliation of the federal statutory rate to the effective tax rate is as follows for the three months and six months ended November 30, 2019 and 2018:

|                                                       | Three Months Ended<br>November 30, |         |               |         | Six Months Ended<br>November 30, |         |               |         |
|-------------------------------------------------------|------------------------------------|---------|---------------|---------|----------------------------------|---------|---------------|---------|
|                                                       | 2019                               |         | 2018          |         | 2019                             |         | 2018          |         |
|                                                       | (Unaudited)                        |         | (Unaudited)   |         | (Unaudited)                      |         | (Unaudited)   |         |
| Income (loss) before taxes                            | \$ 1,896,908                       | 100.00% | \$ 10,266,021 | 100.00% | \$ (2,440,692)                   | 100.00% | \$ 24,839,530 | 100.00% |
| Computed expected tax expense                         | \$ 398,351                         | 21.00%  | \$ 2,155,864  | 21.00%  | \$ (512,545)                     | 21.00%  | \$ 5,216,301  | 21.00%  |
| State and City taxes,<br>net of federal benefit       | 166,609                            | 8.78%   | 44,752        | 0.44%   | 525,459                          | -21.53% | 176,417       | 0.71%   |
| Increase in allocation of<br>income to State and City | 505,320                            | 26.64%  | -             | 0.00%   | 505,320                          | -20.70% | -             | 0.00%   |
| Permanent differences                                 |                                    |         |               |         |                                  |         |               |         |
| Permanent differences related<br>to consolidation     |                                    |         |               |         |                                  |         |               |         |
| of noncontrolling interests                           | (377,869)                          | -19.92% | (2,297,945)   | -22.38% | 981,757                          | -40.22% | (4,738,339)   | -19.08% |
| Other permanent differences                           | 140,075                            | 7.38%   | 423,330       | 4.12%   | 560,736                          | -22.97% | 990,713       | 3.99%   |
| Other                                                 | (2,000)                            | -0.11%  | 4,106         | 0.04%   | 2,768                            | -0.11%  | (25,616)      | -0.10%  |
| Total Provision for<br>Income Taxes                   | \$ 830,486                         | 43.77%  | \$ 330,107    | 3.22%   | \$ 2,063,495                     | -84.53% | \$ 1,619,476  | 6.52%   |

### **NOTE 7 - Net Income Per Common Share and Per Common Share Equivalent**

Basic and diluted earnings per common share is calculated by dividing net income allocated to common stock by the weighted average common shares outstanding during the period. The weighted average number of shares of common stock used in the calculation of diluted earnings per share is adjusted for the dilutive effects of potential common shares including the assumed exercise of vested stock options based on the treasury stock method. Assumed exercise or conversion of potential common shares is only when the weighted average market price for the period exceeds the exercise price and the conversion price, and that the entity records earnings from continuing operations, as the inclusion of such adjustments would otherwise be anti-dilutive to earnings per share from continuing operations.

Potential common shares consist of unexercised stock options of 56,000 and 107,000 for the six months ended November 30, 2019 and 2018.

As of November 30, 2019 and 2018 there were 32,000 and 83,000 vested options, respectively, with an exercise price below the weighted average market price of the Company's common stock during the period.



# FRMO CORPORATION AND SUBSIDIARIES

## NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS As of November 30, 2019 (Unaudited) and May 31, 2019 and for the Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

### **NOTE 7 - Net Income Per Common Share and Per Common Share Equivalent (cont.)**

The reconciliation of the weighted average number of common shares used in the calculation of basic and diluted earnings per common share follows for the three months and six months ended November 30:

|                                                             | Three Months Ended<br>November 30, |                   | Six Months Ended<br>November 30, |                   |
|-------------------------------------------------------------|------------------------------------|-------------------|----------------------------------|-------------------|
|                                                             | 2019                               | 2018              | 2019                             | 2018              |
|                                                             | (Unaudited)                        |                   | (Unaudited)                      |                   |
| Weighted Average Common Shares                              |                                    |                   |                                  |                   |
| Outstanding                                                 | 44,031,462                         | 43,973,781        | 44,007,267                       | 43,973,781        |
| Effect of Dilutive Securities,<br>common share equivalents: |                                    |                   |                                  |                   |
| Exercise of stock options                                   | -                                  | 47,320            | -                                | 48,651            |
| Dilutive Potential Common<br>Share Equivalents              | <u>44,031,462</u>                  | <u>44,021,101</u> | <u>44,007,267</u>                | <u>44,022,432</u> |

### **NOTE 8 – Mortgage Payable**

On November 8, 2019, the Company acquired a building to be used in its cryptocurrency mining operations for \$1,050,000 located in Graham, North Carolina. The building was purchased subject to an \$800,000 mortgage and first deed of trust to Home Trust Bank. The interest rate is fixed at 3.9%, with monthly payments of \$4,830, which includes principal and interest through October 6, 2024 and a balloon payment of \$659,731 on the maturity date of November 6, 2024. The mortgage is also collateralized by an assignment of all rents received from the building. The building is rented to HM Tech, LLC, subject to a lease that calls for \$11,450 per month in rent through November 2024. The Company owns a minority interest in HM Tech, LLC.

The following table presents contractual payments of the Company's obligation under this mortgage as of November 30, 2019:

| <b>For the Year Ending May 31,</b> | <b>Total</b>   |
|------------------------------------|----------------|
|                                    | (Unaudited)    |
| Remainder of fiscal year           | \$ 28,977      |
| 2021                               | 57,955         |
| 2022                               | 57,955         |
| 2023                               | 57,955         |
| 2024                               | 57,955         |
| Thereafter                         | 681,532        |
| Total                              | <u>942,329</u> |

# FRMO CORPORATION AND SUBSIDIARIES

NOTES TO CONDENSED CONSOLIDATED FINANCIAL STATEMENTS  
As of November 30, 2019 (Unaudited) and May 31, 2019 and for the  
Three Months and Six Months Ended November 30, 2019 and 2018 (Unaudited)

## **NOTE 9 - Stockholders' Equity**

### *Redeemable Preferred Stock*

The number of authorized Series R preferred shares is 5,000 with a par value of \$.001 per share. These shares are each convertible to 1,000 shares of the Company's common stock at the option of either the Company or the holder. There were no shares of preferred stock outstanding as of November 30, 2019 and May 31, 2019.

### *Stock Options*

A summary of option activity as of November 30, 2019, and changes during the six months then ended, is as follows:

| <i>Stock Options</i> (Unaudited)               | Number of<br>Shares | Weighted<br>Average<br>Exercise Price<br>Per Share | Weighted<br>Average<br>Remaining<br>Contractual<br>Term | Aggregate<br>Intrinsic<br>Value |
|------------------------------------------------|---------------------|----------------------------------------------------|---------------------------------------------------------|---------------------------------|
| Outstanding at June 1, 2019                    | 104,000             | \$ 4.34                                            | 2.06                                                    | \$ 329,040                      |
| Granted                                        | 8,000               | \$ 6.10                                            | 6.87                                                    | \$ 9,440                        |
| Exercised                                      | (56,000)            | \$ 1.99                                            | -                                                       | \$ 290,200                      |
| Forfeited                                      | -                   | \$ -                                               | -                                                       | -                               |
| Outstanding at November 30, 2019               | <u>56,000</u>       | <u>\$ 6.95</u>                                     | <u>3.86</u>                                             | <u>\$ 44,400</u>                |
| Vested and Exercisable at<br>November 30, 2019 | <u>56,000</u>       | <u>\$ 6.95</u>                                     | <u>3.86</u>                                             | <u>\$ 44,400</u>                |

All stock options granted during the six months ended November 30, 2019 were vested as of grant date. All stock options were vested as of November 30, 2019 and May 31, 2019.

The aggregate intrinsic value of options outstanding and options exercisable at November 30, 2019 and May 31, 2019 is calculated as the difference between the exercise price of the underlying options and the market price of FRMO's common stock for the shares that had exercise prices that were lower than the \$7.28 and \$7.25 closing price of FRMO's common stock on November 30, 2019 and May 31, 2019, respectively.

As of November 30, 2019, there was no unrecognized compensation cost related to unvested options.